

Palantir Technologies Inc.

PLTR NYSE

Hold	\$175.19 ▲ 2.13%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$420.99B
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PLTR: AI Demand Real, But Valuation Getting Silly

WHAT HAPPENED

- Stock bounced +2.13% to \$175 after three days of drifting lower — the catalyst appears to be the Mercury Systems (MRCY) partnership headline plus another "enterprise AI demand is booming" story. Translation: the market keeps finding fresh reasons to bid this thing up whenever it dips, which tells you sentiment is still white-hot.
- BUT — Director Alexander Moore dumped ~\$2.8M worth of stock on Monday across four tranches. Insider selling into strength isn't automatically bearish (they're rich on paper and taking chips off), but "cluster selling" with zero insider buys is worth noting when you're paying this multiple.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- If Congress trims federal software spending in the fall budget fight — even a headline scare, not an actual cut — PLTR gets hit disproportionately because so much of the story is government-AI expansion
- The valuation itself IS the risk — at 85x sales, this stock doesn't need bad news to drop 30%, it just needs "meh" news; one soft earnings guide and you're looking at \$130 fast
- The non-obvious risk: commercial AI competition is heating up from Microsoft (Copilot for Enterprise) and Databricks — if PLTR's commercial growth rate decelerates from 40%+ to 25%, the whole "we're not just a defense company" narrative cracks

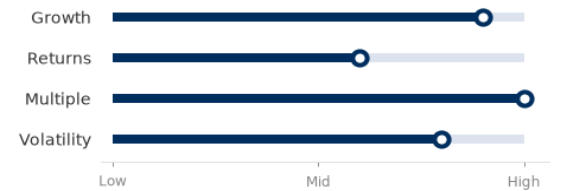
IN THE NEWS

- Is Mercury Systems (MRCY)'s Partnership With Palantir Technologies (PLTR) the Catalyst for...** Insider Monkey · 2026-08-20 12:03
- Prediction: This Will Be Palantir's Stock Price at the End of 2026** Motley Fool · 2026-08-20 10:40
- The Dealmaking 3: Madden's AI Persona Engine, Boehly's \$75B AI Bet & Pac-12 Free on YouTube...** CorpGov.com · 2026-08-19 22:17
- Software Companies' Second-Quarter Beat Rate Accelerates Sequentially, RBC Says** MT Newswires · 2026-08-19 20:34
- Is Palantir Technologies (PLTR) Overvalued As Revenue Growth And 2026 Outlook Jump?** Simply Wall St. · 2026-08-19 18:12

Key Data

Price (USD)	\$175.19
12M Price Target	\$185.00
Upside / (Downside)	+5.6%
Market Cap	\$420.99B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.68
FY2027E EPS	\$0.92
Fwd P/E	257.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$178.00	\$158.00
6 Months	\$225.00	\$185.00	\$140.00
1 Year	\$260.00	\$190.00	\$120.00
2 Years	\$320.00	\$220.00	\$100.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$450.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.51% today) is ripping — likely on drug pricing clarity and the recent Medicare AI-diagnostics reimbursement rules. Consumer Discretionary strength suggests risk-on tape, which supports high-multiple names like PLTR.

COOLING OFF: Tech isn't in the top movers today, which is telling — PLTR is up on stock-specific news, not sector wind. That's a sign the AI trade is getting more selective.

ROTATION WATCH: Money is rotating from broad tech into specific AI winners and defensives — PLTR sits in a weird sweet spot as both a defense name AND an AI momentum name, which is why it keeps bouncing.

RELATED PLAY: If you believe in the government AI thesis, the picks-and-shovels names — data center power (VST, CEG) and defense-tech (MRCY, KTOS, AVAV) — offer similar exposure at way less demanding multiples.

WHO'S WINNING IN THIS SPACE?

- MRCY (Mercury Systems): Directly benefiting from the PLTR partnership news — the hardware-software integration story just got real
- ANET (Arista Networks): Data center backbone play, riding the same AI-infrastructure spending wave

PLTR CONTEXT: PLTR is leading its peer group in terms of narrative and multiple — but that's a double-edged sword. When you're the "best-in-class" story, you get the highest multiple AND the biggest air-pocket when sentiment shifts. It's not lagging; it's just extended.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I don't love the price. If I already own it I'm not selling; if I don't own it I'm not chasing here.

POSITION SIZE: 2-3% max — the story is great but the volatility is real, and at this multiple a 30% drawdown is a Tuesday

ENTRY POINTS: Wait for pullbacks to \$150-160, which is where the 50-day moving average sits. If you get a market-wide fear day, you might see \$135 — that's where I back up the truck

TIME HORIZON: 12-24 months — the catalyst is the FY27 defense budget confirming AI spending growth, plus a couple more quarters of 40%+ commercial growth

WHEN TO BAIL: Two consecutive quarters of commercial growth below 30%, OR a major DoD contract loss, OR insider selling accelerates from a trickle to a flood

HEDGING: If you have a big position, buy 6-month puts about 15% below the current price — think of it as insurance; you're paying maybe 5% of your position value to cap your downside if this thing rolls over